

Multiple Choice (10 marks)

1. The characteristic roots of the MA process $y_t = -3u_{t-1} + u_{t-2} + u_t$ are
 - (a) 1 and 0.5
 - (b) 2 and 0.5
 - (c) -1 and -0.5
 - (d) -1 and 2
 - (e) 3 and -2
2. Give the importance of buffer stocks in the agricultural market model.
 - (a) Buffer stocks eliminate the need for agricultural subsidies.
 - (b) Buffer stocks result in price fluctuation.
 - (c) Buffer stocks ensure a constant decrease in the market price of crops.
 - (d) Buffer stocks provide unlimited income for farmers.
 - (e) Buffer stocks are primarily used to control the export of crops.
3. Which of the following could be used as a test for autocorrelation up to third order?
 - (a) The Dickey-Fuller test
 - (b) The Jarque-Bera test
 - (c) White's test
 - (d) The Augmented Dickey-Fuller test
 - (e) The Durbin Watson test
4. What is meant by the technically efficient method of production?
 - (a) A method that minimizes the time taken to produce a product
 - (b) A method that uses more of all inputs to increase output
 - (c) A method that produces the highest quantity of output
 - (d) A method that relies solely on the latest technology
 - (e) A method that achieves the fastest production speed regardless of resource usage
5. Suppose that current disposable income is 10000 and consumption spending is 8000. For every 100 increase in disposable income, saving increases 10. Given this information
 - (a) the marginal propensity to save is .80.
 - (b) the marginal propensity to save is .90.
 - (c) the marginal propensity to save is .20.
 - (d) the marginal propensity to consume is .20.
 - (e) the marginal propensity to save is .50.

True / False (10 marks)

Answer True or False

6. True or False: Stagflation results from a rightward shift in the aggregate demand curve, which typically stimulates economic growth and reduces unemployment.
7. True or False: Inventors are solely responsible for commercializing new products, leaving no role for innovators in the process.
8. True or False: Disposable income is the amount of personal income that remains after taxes have been paid.
9. True or False: Operating at the natural rate of unemployment indicates that the nation is experiencing a recession and low economic activity.
10. True or False: A decrease in the price of aluminum will lead to a decrease in the supply of bicycles as producers adjust their output.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how the allocation of economic resources in a capitalist market economy reflects the decisions made by the central bank and analyze its implications for market efficiency and growth.
12. Discuss the relationship between patent issuance and monopoly power in markets. How do patents influence competition and innovation within an economy?

End of Paper